

CLLOUDWALK PAYMENTS INC.

BSA / AML — Product Risk & Compliance

PRODUCT RISK ASSESSMENT

Instant Payouts to Cards (OCT) & Crypto On-Ramp Purchases (MCC 6051)

Formal Pre-Launch Assessment for Board and Sponsor-Bank Review

CLASSIFICATION: Internal — Confidential. Prepared for the BSA/AML Compliance Committee, the Board of Directors, and the Lead Bank (FDIC-member sponsor).
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Field	Detail
Document	Product Risk Assessment (PRA) — New Product Launch
Products in scope	(1) Instant Payouts to Cards — Original Credit Transaction (OCT); (2) Crypto On-Ramp Purchases — processed under MCC 6051 (Quasi Cash)
Prepared by	AML Compliance Officer (Senior) / Product Risk Partner
Reviewed by	Chief Compliance Officer; OFAC Sanctions Compliance Officer
Approval chain	BSA/AML Compliance Committee — Board Risk Committee — Lead Bank (sponsor)
Evidence base	Confirmed transaction dataset: 32,348 transactions · 501 customers · 100 merchants · 630 cards
Date	November 2025
Version	1.0 — Pre-Launch

Executive Summary

CloudWalk proposes to launch two interrelated products: **Instant Payouts to Cards** (an Original Credit Transaction, or OCT, that pushes funds *out* to a recipient card in near-real time and is largely irreversible), and **Crypto On-Ramp Purchases** (card-funded acquisition of crypto-assets processed under MCC 6051, Quasi Cash). Both products introduce instant, irreversible, cross-border value movement into a portfolio that already exhibits confirmed

structuring, device-sharing/mule-ring, card-testing, cross-border geo-hopping, and Iran-nexus sanctions exposure.

Assessed inherent risk for both products is **5 — Critical** (consistent with the enterprise AML/CTF Risk Matrix, Section 1.a). These products do not create new risk categories so much as they **amplify and accelerate** typologies already evidenced in the dataset by adding a fast, low-friction off-ramp (OCT) and a fiat-to-crypto bridge (on-ramp). Without controls, the residual rating remains 5 and the products are non-launchable.

With the full control set proposed in Section 3 deployed to production — velocity limits, device-level controls, layered geofencing, an OCT funding-source MCC blocklist, mandatory 3DS, tiered KYC, and blockchain-analytics / VASP screening — residual risk reduces to **3 — Moderate**, which is within risk appetite **on a conditional basis only**.

RECOMMENDATION	GO — WITH CONDITIONS
Residual rating: ** **3 / 5 (Moderate)	Launch is approved only after the mandatory pre-launch conditions in Section 5 are met and independently verified. Absent those conditions, the effective residual is 4 (High) — above appetite — and the recommendation reverts to No-Go.

Critical dependency:** **These products must not launch on top of the four un-remediated enterprise gaps identified in the Risk Matrix — subcalibrated Iran/Venezuela customer ratings, two MSB-registration gaps, unresolved Iranian-UBO OFAC 50% Rule determinations, and device-sharing / card-testing detection not yet in production. Launching amplifying products over open gaps would re-elevate effective residual risk to Critical.

1. Products in Scope

1.1 Instant Payouts to Cards (OCT)

An OCT (Original Credit Transaction) is a *push* payment that credits funds directly to a recipient payment card, typically settling within minutes. Unlike a standard card purchase — a *pull* that can be disputed and charged back — an OCT reverses the normal money-flow direction and offers **no chargeback recourse**. Once sent, value is effectively final. This irreversibility, combined with speed and reach to any eligible card, is precisely what makes OCT attractive as a cash-out / layering rail.

1.2 Crypto On-Ramp Purchases (MCC 6051 — Quasi Cash)

A crypto on-ramp converts card-funded fiat value into crypto-assets, processed as Quasi Cash under MCC 6051. Crypto acquisition is functionally cash-equivalent, cross-border by default, pseudonymous once on-chain, and — like OCT — largely irreversible after settlement. The dataset already contains **1,687 MCC 6051 transactions** across CryptoBuy24 merchants #304, #315, #332, #353 and #381, with cross-border legs to Canada (CA) and confirmed sub-threshold structuring inside 6051. Scaling the on-ramp scales an already-abused channel.

2. Risk Identification

Risks are scored on inherent likelihood × impact using the enterprise 1–5 scale (1 = Low, 5 = Critical). Each risk is mapped to the relevant FinCEN 2024 National AML/CFT Priority.

2.1 Instant Payouts to Cards (OCT) — Inherent Risks

Risk	Description	FinCEN Priority	Inherent
Money laundering — layering / cash-out	Provides an instant, irreversible off-ramp for placed funds. A mule network fans value out to many recipient cards, breaking the audit trail. Directly accelerates the confirmed 12-account device/IP ring and the 5,159 shared-device population.	TCO; Cybercrime	5
Terrorist financing	Small-value, dispersed, cross-border payouts to recipient cards are difficult to detect and can move value to higher-risk jurisdictions rapidly.	Terrorist Financing	4
Sanctions evasion	Recipient card issuer country (BIN) or controlling party may carry a sanctions nexus. Portfolio already shows Iran exposure (C88888; 40 IR/RU merchant UBOs). Push-to-card can route value toward sanctioned persons/regions.	Proliferation Financing	5
Structuring	Payouts split below monitoring/reporting thresholds and spread across many	Fraud; Drug Trafficking	4

Risk	Description	FinCEN Priority	Inherent
	recipient cards or many sub-threshold OCTs. Mirrors the confirmed 104 sub-\$1,000 structuring transactions.		
Fraud proceeds egress	OCT is the classic payout leg for scams (romance, BEC, refund fraud). No chargeback means victim funds are unrecoverable once pushed.	Fraud	4
Funding-loop risk	If OCT can be funded from a quasi-cash or other high-risk MCC, the result is a clean laundering loop: high-risk MCC in – instant irreversible payout out.	TCO; Cybercrime	5

2.2 Crypto On-Ramp (MCC 6051) — Inherent Risks

Risk	Description	FinCEN Priority	Inherent
Money laundering — placement / layering bridge	On-ramp is the bridge from card rails into crypto, where value can move to mixers or foreign VASPs beyond CloudWalk's visibility. Builds directly on 1,687 existing 6051 transactions.	Cybercrime; TCO	5

Risk	Description	FinCEN Priority	Inherent
Sanctions evasion	Crypto is a recognized sanctions-evasion vector (Iran, DPRK). Cross-border 6051 activity to Canada is already present, and the on-ramp's inherent cross-border/pseudonymous reach to any destination wallet means exposure is not confined to observed acquiring corridors; destination wallets may be OFAC-listed or region-linked. Highest-consequence risk for this product.	Proliferation Financing	5
Terrorist financing	Pseudonymity plus cross-border settlement and low ticket sizes enable small-value TF flows into crypto.	Terrorist Financing	4
Structuring	Sub-threshold on-ramp purchases already observed in 6051 (\$980–\$995 pockets). Repeated small buys aggregate off-platform.	Fraud; Drug Trafficking	4
VASP / counterparty risk	On-ramp merchants operating as money transmitters must hold MSB registration (31 CFR 1022.380). Unregistered or under-screened VASP counterparties expose CloudWalk to processing for illicit	Cybercrime	4

Risk	Description	FinCEN Priority	Inherent
Irreversibility / no recovery	exchanges. Once on-chain, value cannot be recalled. Detection must be pre-authorization, not post-settlement.	Fraud	4

2.3 Amplification of Existing Dataset Risks

The core concern is not novelty but **multiplication**: each new product supplies a faster or more opaque leg to a typology already confirmed in the data.

Confirmed dataset finding	How OCT amplifies it	How Crypto On-Ramp amplifies it
Device/IP mule ring — 12 customers on one device_id at MCC 4829; 5,159 shared devices	Gives the ring an instant, irreversible fan-out payout leg to many recipient cards.	Lets the ring convert pooled funds to crypto in coordinated sessions from shared devices.
Structuring — 104 sub-\$1,000 txns in high-risk MCCs; \$980–\$995 pockets	Enables sub-threshold payout splitting across recipient cards.	Extends existing 6051 structuring; small buys aggregate off-platform.
Cross-border geo-hopping — 7,479 txns (23.1%); CA, BR, GB, AE, TR, MX, CN	Push-to-card can target foreign-issued recipient cards.	Crypto is inherently cross-border; on-ramp obscures ultimate destination.
Iran / sanctions nexus — C88888 (score 0.84); 40 IR/RU merchant UBOs	Payout to a card with sanctions nexus becomes a prohibited-transaction vector.	On-ramp to sanctioned wallets is a direct proliferation-financing risk.
Card testing — 254 sub-\$5 ECOM, 70% decline, 22 cards, KEYED no-3DS	Validated cards can be used to pull funding for immediate payout.	Validated cards fund rapid crypto buys before detection.
Cash-in / cash-out layering — 489 of 501 customers (97.6%) use both MCC 6011 and 4829 at some point; this raw overlap is <i>not</i> diagnostic on its own (must never be used as a standalone alert — see Task 1.2/3.1 Query 7), but only 1 customer meets the layered time-window/ratio criteria today	OCT becomes the definitive cash-out endpoint of the layering chain if similar layered criteria are not applied to the new product	Crypto conversion becomes an alternative, harder-to-trace cash-out

3. Proposed Controls

All thresholds below are proposed calibrations for Compliance Committee and Lead Bank approval prior to production enforcement. They align with, and extend, the existing AML Program Update (Section 1.b) — notably the MCC 6051 baseline of \$2,000/customer/day and \$10,000/customer/rolling-30-days.

3.1 Velocity Limits per Customer (daily / monthly)

Product	Daily cap	Rolling-30-day cap	Logic / action on breach
Crypto On-Ramp (6051) — Tier 1	\$2,000	\$10,000	Aligned to existing program. Amounts above trigger EDD referral and hold, not auto-approval.
OCT payout — Tier 1	\$2,500	\$5,000	Plus a fan-out limit: ≤ 3 distinct recipient PANs per sender / 30 days. Breach → hold + review.
New-account seasoning (both, first 30 days)	\$500	\$2,000	Reduced caps during the seasoning window regardless of tier; mitigates fast-mule onboarding.
Combined quasi-cash + OCT throughput	\$3,500	\$12,000	Aggregate ceiling so the two products cannot be used in tandem to exceed single-product limits.

Note:***Source-of-funds attestation is required for any single on-ramp purchase > \$1,000; Travel Rule data (31 CFR 1010.410) is collected for any on-ramp or OCT ≥ \$3,000.

3.2 Velocity Limits per Device (device_id)

Rule	Threshold and action
Shared-device alert	≥ 3 distinct customer_ids on the same device_id transacting in OCT or MCC 6051 within 24 hours → alert + manual review (aligns with device-sharing detection, Query 2).
Shared-device HARD BLOCK	≥ 5 distinct customer_ids on the same device_id within 24 hours → hard block of both products on that device pending investigation.

Rule	Threshold and action
Ring-linkage block	Any device_id already surfaced in the device-sharing or IP-ring typology is ineligible for OCT payouts until cleared.
Per-device ceilings	Max 10 product transactions per device_id / day; max 3 distinct recipient PANs per device_id / day for OCT.

3.3 Geofencing Rules

Enforced at every available leg: customer residency and nationality, IP and device geolocation, merchant / VASP jurisdiction, OCT recipient-card issuer (BIN) country, and — for crypto — destination-wallet jurisdiction via blockchain analytics. A touch on any Tier A leg blocks the transaction; a touch on any Tier B leg blocks the product at launch.

Tier	Jurisdictions	Treatment
A — Prohibited	OFAC comprehensive: Iran (IR), North Korea (KP), Syria (SY), Cuba (CU), and the occupied Ukrainian regions (Crimea; Donetsk, Luhansk, Zaporizhzhia and Kherson oblasts). FATF Black List / call for countermeasures: IR, KP, Myanmar (MM).	HARD BLOCK — mandatory, legal. No transaction may touch any leg. Iran/KP-linked matches escalate to OFAC blocking/reject reporting (31 CFR Part 560).
B — Product block at launch	FATF Grey List (Oct 2025): Venezuela (VE), Algeria (DZ), Bulgaria (BG), Lebanon (LB), Nepal (NP), South Sudan (SS), Vietnam (VN), British Virgin Islands (VG). High-risk cybercrime regions per FinCEN/IC3 guidance: Central Asia (KZ, KG, TJ, TM, UZ) and high-risk Eastern Europe (incl. RU, BY).	BLOCKED for OCT and Crypto On-Ramp specifically at launch. A conservative launch posture for instant-irreversible and crypto rails; may be reduced to EDD post-launch after a control-effectiveness review. VE additionally carries TCO (Tren de Aragua) concern.
C — EDD, not blocked	Turkey (TR) and United Arab Emirates (UAE, AE) — both present in the current dataset with elevated risk.	EDD REQUIRED. Permitted with enhanced due diligence, reduced velocity, source-of-funds evidence, and enhanced transaction monitoring. Tier 3 KYC mandatory.

3.4 MCC Blocklist — Prohibited OCT Funding Sources

An OCT payout must never be funded by a quasi-cash or cash-equivalent transaction, which would create an instant laundering loop. The following MCCs are prohibited as the funding source for any OCT; OCT must be funded only from a verified bank account or a vetted low-risk source.

MCC	Category	Treatment as OCT funding source
6051	Quasi Cash / Crypto	BLOCKED — prevents crypto → instant cash-out loop.
6010 / 6011	Manual cash disbursement / ATM	BLOCKED — cash-equivalent placement leg.
4829	Money Transfer	BLOCKED — MSB-to-MSB layering.
7995	Gambling	BLOCKED — high-risk cash-equivalent.
6538 / 6540	Funding / stored-value / MoneySend funding	BLOCKED — prevents card-to-card stacking.
5944 / 5967	Jewelry / Direct marketing / teleservices	EDD-gated — permitted only with enhanced review; not permitted for seasoning-window accounts.

3.5 3DS Enforcement

Scenario	3DS requirement
All Crypto On-Ramp (MCC 6051) e-commerce transactions	MANDATORY (EMV 3DS 2.x)
All OCT-related funding (pull) transactions	MANDATORY
Any high-risk-MCC or cross-border ECOM transaction	MANDATORY
Any KEYED / card-not-present entry for these products	MANDATORY — KEYED without 3DS is a hard decline
Card-present (CHIP/CONTACTLESS), tokenized, low-value domestic low-risk-MCC	Risk-based / optional step-up

The dataset's 5,983 KEYED no-3DS ECOM transactions (33.8% of ECOM) are the confirmed card-testing vector. For these two products, no-3DS KEYED entry is not permitted at launch.

3.6 Tiered KYC by Transaction Volume

Tier	Requirements	Crypto cap	OCT cap
Tier 0	Unverified. No access	No access	No access

Tier	Requirements	Crypto cap	OCT cap
	to either product.		
Tier 1	Standard CIP verified: name, DOB, address, SSN/ITIN, government ID (31 CFR 1020.220).	\$2,000/day · \$10,000/mo	\$2,500/day · \$5,000/mo
Tier 2	Enhanced: Tier 1 + source-of-funds + proof of address + sanctions/PEP + adverse-media screen.	\$5,000/day · \$25,000/mo	\$10,000/day · \$50,000/mo
Tier 3	EDD: Tier 2 + documented source-of-wealth + senior-management approval + enhanced ongoing monitoring. Mandatory for any PEP and any Tier-C geography (TR/AE).	Case-by-case	Case-by-case
Ineligible	sanctions_match_score > 0.7 or OFAC-comprehensive nexus (as with C88888).	Blocked pending adjudication	Blocked pending adjudication

3.7 Supporting Controls

- **Blockchain analytics / VASP screening:** ** **real-time screening of crypto destination wallets against OFAC-listed addresses, mixers, and darknet clusters; VASP counterparty MSB-registration verification (31 CFR 1022.380) at onboarding and 12-month refresh.
- **OCT recipient sanctions screening:** ** **recipient-card BIN issuer-country and, where available, recipient name screened against OFAC SDN/Consolidated lists before release.
- **Irreversibility compensating controls:** ** **pre-authorization holds, fan-out limits, and the funding-source MCC blocklist substitute for the absent chargeback recourse.
- **Real-time monitoring:** ** **all twelve production detection rules (structuring, device-sharing, card-testing, geo-hopping, PEP, cash-in/out, IP ring, etc.) extended to cover both products.
- **Recordkeeping & reporting:** **full transaction and screening records retained; SAR filing via the Lead Bank as institution of record (31 CFR 1020.320); 314(a)/314(b) coverage maintained.

4. Residual Risk Rating

Scale: 1 = Low · 2 = Low-Moderate · 3 = Moderate · 4 = High · 5 = Critical. Risk appetite: residual ≤ 3 is acceptable *with conditions*; residual ≥ 4 requires remediation before launch.

Product	Inherent	Decisive controls	Residual	Appetite
Instant Payouts to Cards (OCT)	5	Funding-source MCC blocklist; fan-out & velocity limits; device controls; Tier-A/B geofence; recipient sanctions screening; mandatory 3DS; tiered KYC.	3	Conditional
Crypto On-Ramp (MCC 6051)	5	Blockchain analytics / wallet & VASP screening; velocity limits; device controls; Tier-A/B geofence; mandatory 3DS; tiered KYC; Travel Rule.	3	Conditional
Combined portfolio effect	5	All of the above plus aggregate cross-product throughput ceiling and unified monitoring.	3	Conditional

4.1 Is residual risk acceptable for launch?

Yes — but only conditionally, and not today. The residual rating of 3 is achievable *only when the proposed controls are actually in production and validated*, and only when the four open enterprise gaps are closed. In their current state:

- Controls designed but not yet deployed, gaps open — **effective residual 4 (High) — above appetite, No-Go.**

- Controls deployed and validated, gaps remediated – **residual 3 (Moderate) — within appetite, launchable with conditions.**

Residual cannot realistically be driven below 3 for these products: the irreversibility of OCT and the pseudonymity/cross-border nature of crypto are structural and cannot be fully engineered away. A Moderate residual is the correct and defensible target, managed through the conditions and ongoing monitoring in Section 5.

5. Final Recommendation — GO WITH CONDITIONS

The assessment recommends **GO WITH CONDITIONS**. The following conditions are mandatory and must be independently verified by Compliance and approved by the Lead Bank before general availability.

5.1 Mandatory Pre-Launch Conditions

- **Deploy and validate all Section 3 controls in production**

Velocity (customer + device), layered geofence, OCT funding-source MCC blocklist, mandatory 3DS, and tiered KYC must be live and tested in a controlled pilot before general availability — not merely designed.

- **Remediate the four open enterprise gaps first**
- Upgrade subcalibrated Iran/Venezuela customer ratings — C88888 to high/enhanced; (b) resolve the two missing MSB registrations (M3020, M3070); (c) complete OFAC 50% Rule determinations on the Iranian-UBO merchants; (d) deploy device-sharing and card-testing detection to production with enforcing thresholds.
- **Stand up blockchain analytics and VASP screening**

Destination-wallet screening against OFAC crypto addresses and mixers, plus VASP counterparty MSB-registration verification, must be operational for the crypto on-ramp.

- **OCT recipient sanctions screening live**

Recipient-card BIN issuer-country and available recipient-name screening operational before any payout is released.

- **Sponsor-bank and Board sign-off**

Written Lead Bank approval of the product controls and SAR/reporting chain, and documented Board risk-appetite acceptance of a residual-3 product.

- **Phased rollout**

Launch as a limited pilot — capped volume, Tier 2+ customers only, domestic-only — expanding only after a 60–90 day control-effectiveness review (precision/recall and alert-QA metrics per the investigation-QA framework).

- **Independent pre-launch validation**

Independent testing of the new monitoring rules and documented senior-management + CCO approval before general availability.

5.2 Post-Launch (Continuous) Conditions

- Quarterly product risk re-assessment and threshold recalibration against observed alert precision/recall.
- 90-day look-back review of all OCT and on-ramp activity in the pilot cohort, with SAR-quality metrics reported to the Committee.
- Automatic off-cycle review on any sanctions hit, Tier-A/B geofence attempt, device-ring linkage, or structuring signature involving the new products.
- Any material control failure or emerging typology triggers immediate re-escalation and a launch-pause decision by the CCO.

Prepared by: AML Compliance Officer (Senior) / Product Risk Partner |** Reviewed by:** **Chief Compliance Officer; OFAC Sanctions Compliance Officer**

This assessment is advisory to the Board and the Lead Bank; production enforcement of all thresholds is subject to Compliance Committee and sponsor-bank approval.

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